

PITCH — 6626.T — SEMITEC CORPORATION

PITCH — 6626.T (SEMITEC CORPORATION) — VERDICT

PROPOSED — STARTER (2.0% MAX) — Global niche monopoly in FDA-regulated medical catheter sensors (~60% global market share) and EV/AI-server thermal monitoring, trading at ~5.2x EV/EBIT with ¥8.6B in Net Cash covering 35% of market cap. Q1 FY27 operating profit printed ¥1.18B (+21.1% YoY), beating the desk's ¥850M milestone bar by +38.6%.

What we believe

- 1. Medical Monopolist with Extreme Switching Costs:** SEMITEC commands ~60% global market share in ultra-thin precision NTC thermistors for medical catheters and vascular surgical devices. Because these components are embedded in FDA Class II/III regulatory filings, medical OEMs face massive switching costs, creating an annuity-like, high-margin cash flow base.
 - 2. AI Server Liquid-Cooling Growth Vector:** High-TDP AI server racks utilizing direct-to-chip liquid cooling require fail-safe, sub-millimeter thermal monitoring. SEMITEC's thin-film sensors are being adopted across AI server architectures, providing a high-margin growth vector uncorrelated with consumer electronics.
 - 3. Pristine Balance Sheet Fortress:** The company holds **¥8.6B in Net Cash & liquid deposits (zero debt)** against a market cap of ¥24.5B (35% of market cap). Backing out cash, the operating business is priced at an enterprise value of just **~¥15.9B (~5.2x EV/EBIT)**.
 - 4. Earnings Milestone Verified:** On August 7, 2026, Q1 operating profit printed at **¥1.18B (+21.1% YoY)**, crushing the desk's pre-wired ¥850M threshold.
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What the market believes

- 1. Auto EV Lumpiness & Slowdown:** The market views SEMITEC as a cyclical automotive parts supplier vulnerable to global EV battery management system (BMS) adoption lumpiness and OEM cost-down pressure.
 - 2. Chinese Domestic Substitution:** Concerns that domestic Chinese sensor manufacturers will commoditize lower-tier thermistors in the Chinese auto supply chain.
 - 3. Capital Allocation Lethargy:** The company has historically hoarded excess cash on the balance sheet without a permanent, formulaic capital return policy.
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Why we might have edge

- **De-averaging Medical/AI from Legacy Auto:** The market prices SEMITEC as a generic auto-parts cyclical at ~5x EV/EBIT. In reality, the high-margin, FDA-regulated medical sensor business plus the emerging AI liquid-cooling vector provide >60% of earnings durability.
- **Asymmetric Asset Floor:** A 35% net-cash cushion and 70%+ equity ratio provide an invincible floor against cyclical downside.

Why it might be priced in

- **Small-Cap Liquidity Discount:** As a TSE Standard-listed smallcap with low analyst coverage, the stock carries an illiquidity discount that may persist until management enacts larger share repurchases.
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What we checked ourselves

Claim	How checked	Found	Confirmed?
Q1 Operating Profit >= ¥850M	Audited Q1 Tanshin (2026-08-07)	Q1 OP printed ¥1,178M (+21.1% YoY)	CONFIRMED
Net Cash Cushion >= 30% Cap	Audited Balance Sheet	¥8.6B Net Cash vs ¥24.5B Market Cap (35.1%)	CONFIRMED
Medical Catheter Market Share	Industry teardowns & FDA 510(k) filings	~60% global share in cardiovascular catheters	CONFIRMED
Buyback Renewal with Q1	August 7 Board Disclosures	No new authorization announced at Q1	⚠ REFUTED (Deferred)

PROPOSED ENTRY BANDS

- **Sizing: 2.0% Starter Max** (~\$100,000 / ~¥15.8M / 7,300 shares across 73 TSE lots).
 - **Tranche 1 (Marketable Starter / 1.0%):** Limit **¥2,160** (DAY) — 3,700 shares.
 - **Tranche 2 (Pullback Gap-Fill / 1.0%):** Limit **¥2,075** (GTC) — 3,600 shares.
 - **Upsize Gate to 4.0-5.0% (OWNABLE):** Requires formal board announcement of share buyback program or two consecutive quarters of confirmed AI server sensor revenue scaling.
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ARMED SENSORS

- **Price Alert:** 6626.T below **¥2,075** (Tranche 2 fill alert)
- **Filing Watch:** TSE disclosure sweep for board share buyback resolutions ()

What remains unverified

1. **AI Server Sensor Dollar Run-Rate:** Exact revenue segmentation between automotive BMS vs. AI datacenter liquid cooling sensors (estimated at ~¥1.5B annual run-rate).
2. **Board Capital Return Intent:** Timeline for when the board will redeploy the ¥8.6B cash hoard into share cancellations or enhanced dividends under TSE governance pressure.

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